

Liquidity

Cheat Sheet



www.chartchampions.com

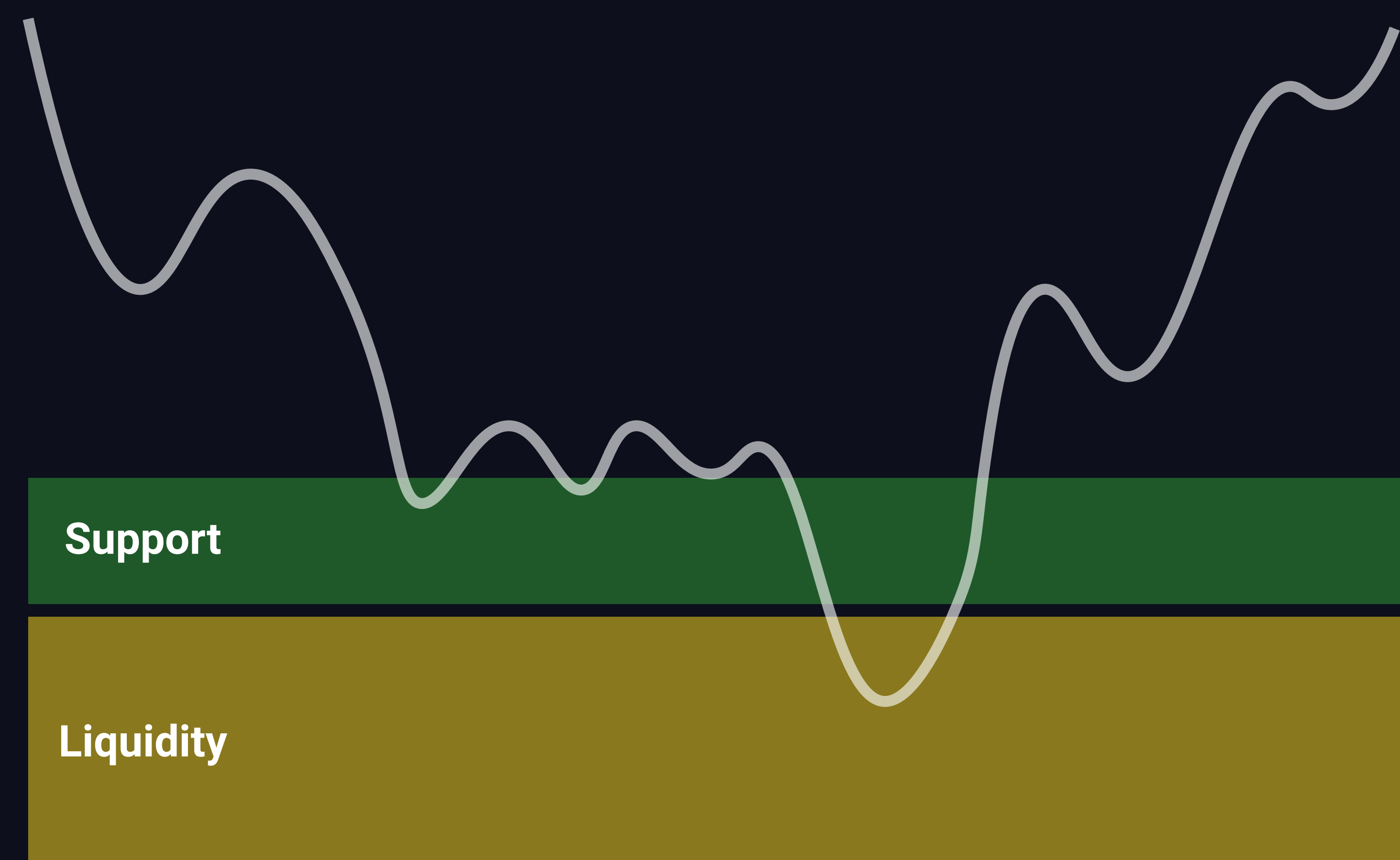


Swing Failure Pattern

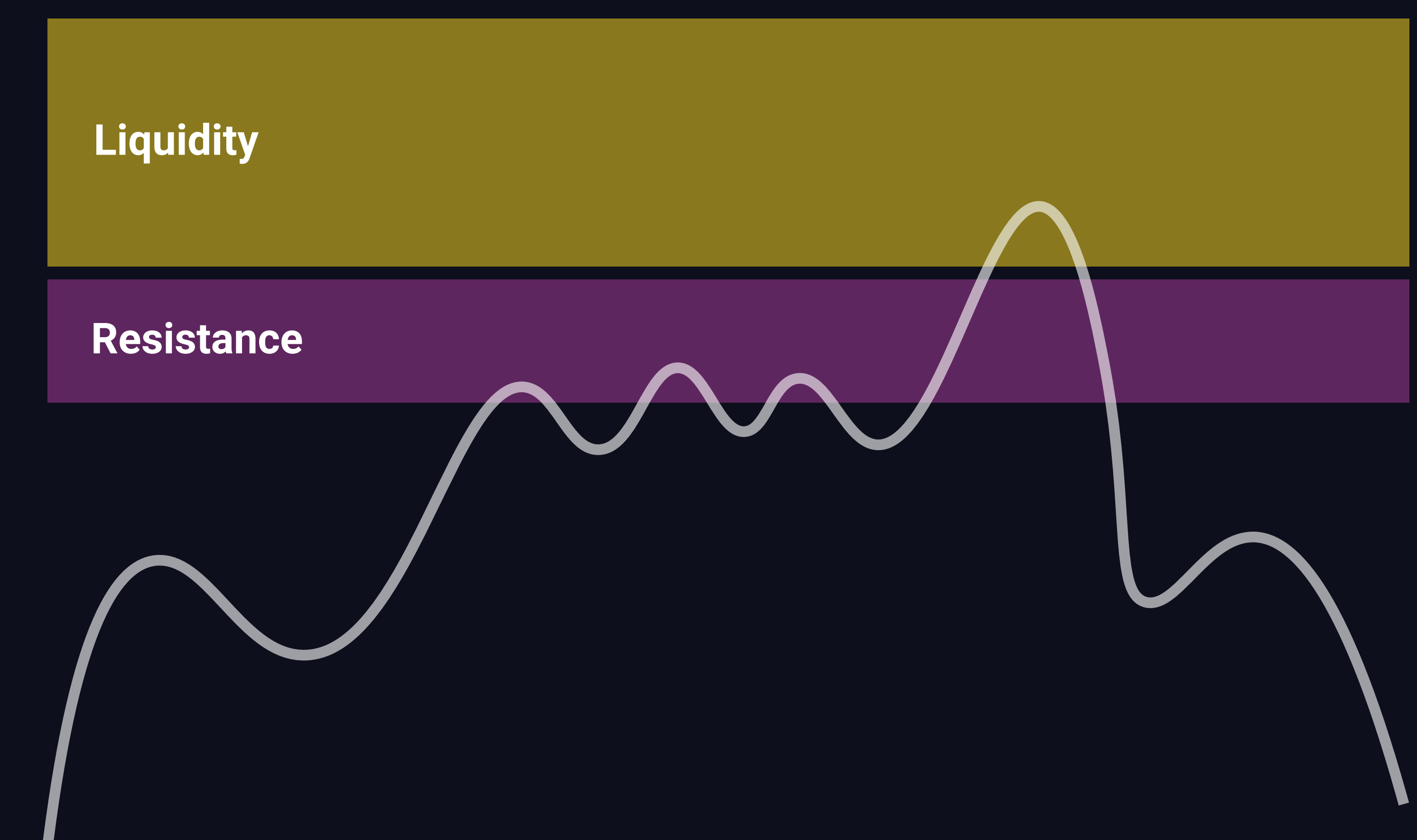
A Swing Failure Pattern or SFP is an attempt to swing below/above a significant low/high, but failing to do so. In this instance the candle closes back above the low or below the high of the previous range to resume, reverse the trend or giving the opportunity to trade a bounce.

It's also known as Stop Hunt or Liquidity Grab.

They occur on all timeframes but the preferred would be 5 minutes up to 30 minutes.



Long positions put their stop losses below the support level, creating liquidity.



Short positions put their stop losses above the resistance level, creating liquidity.



Understanding Liquidity

Limit Orders: provide liquidity to the market

Market Orders: take liquidity from the market

Market orders move the price and take liquidity from the market, while limit orders provide liquidity but do not move the price. Stop losses are usually set as market orders and they will be placed in areas where traders feel safe i.e at levels backed up by technical analysis, market structure, swing highs and swing lows etc.



Entering Trades module: Swing Failure Pattern and Liquidity (4:20)



Larger traders could face a liquidity problem if the asset is in a low volume range. If there are not enough buyers or sellers, market orders could cause slippage and limit orders do not guarantee the order to be filled.

The best place where most stop losses (liquidity) can be found is at the edges of a consolidation or a range. These are the areas where bigger traders will look to trade and fill their orders due to the high volume activity once the stop losses are triggered.



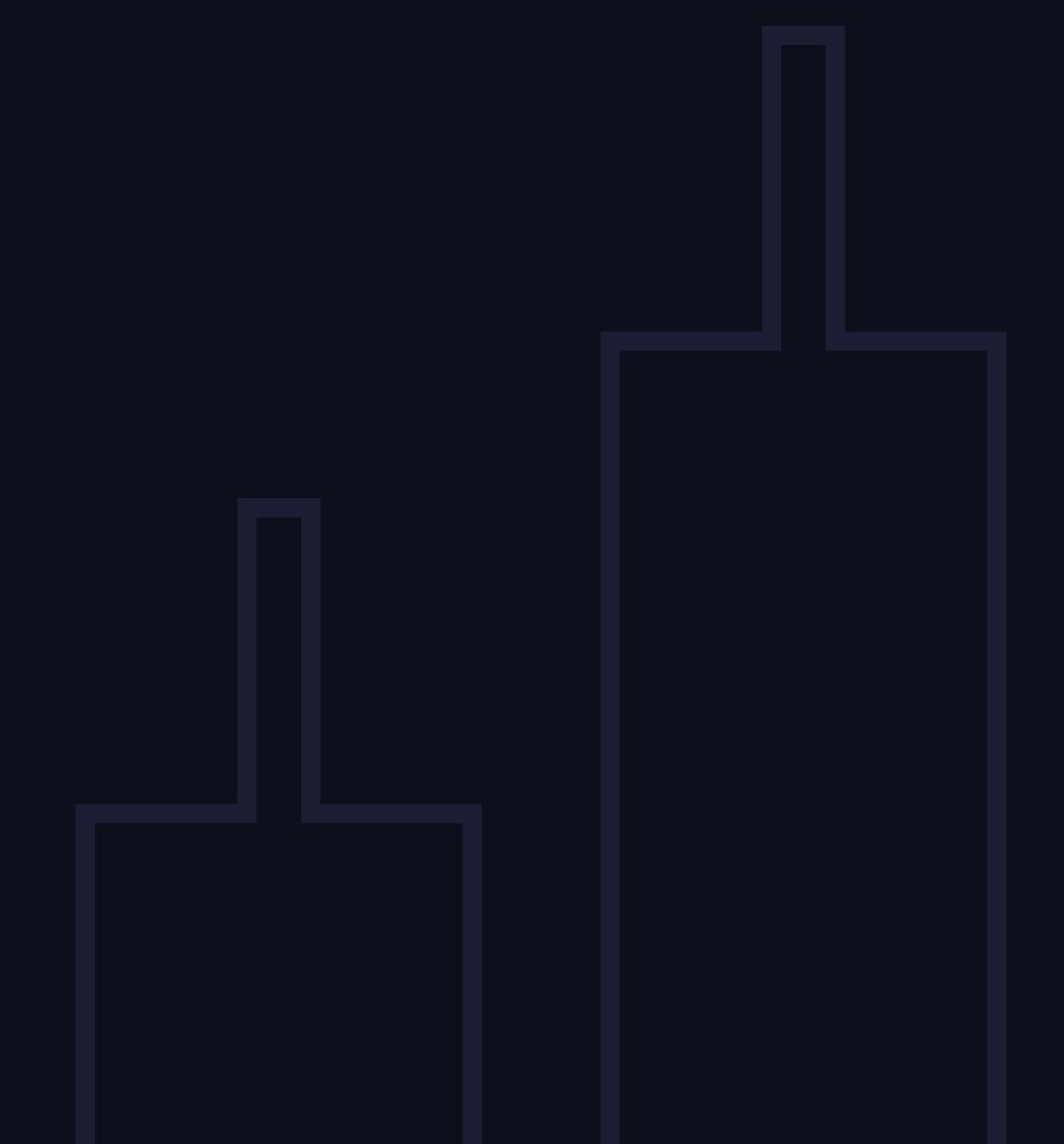
From Scalp to Swing trade

Swing failure patterns will always provide a clear entry and invalidation point. With entries, if the candle does not close back below the previous high or above the previous low, there is no SFP setup. With invalidations, if price goes back to the high of the SFP candle then the trade setup is invalidated.



Take profit areas are context dependent:

If the range is big enough you could TP1 at the POC of the range and TP2 at the bottom of the range. If there is a market structure change in your favour, you can compound or let the rest run.



Entering Trades module: Swing Failure Pattern and Liquidity (18:13)



How to trade liquidity the simple way



1. Wait for the price to take the high.
2. Wait for a candle close below the previous high and back within the local range.
3. Take profits at bottom of the range.
4. Compound or let the trade run as price changes market structure.



Entering Trades module: Swing Failure Pattern and Liquidity (20:32)



How to trade liquidity the advanced way

1: Look for trapped traders:

- High activity at the lows.
- Longs getting stopped out.
- New shorts opening (Negative Delta).



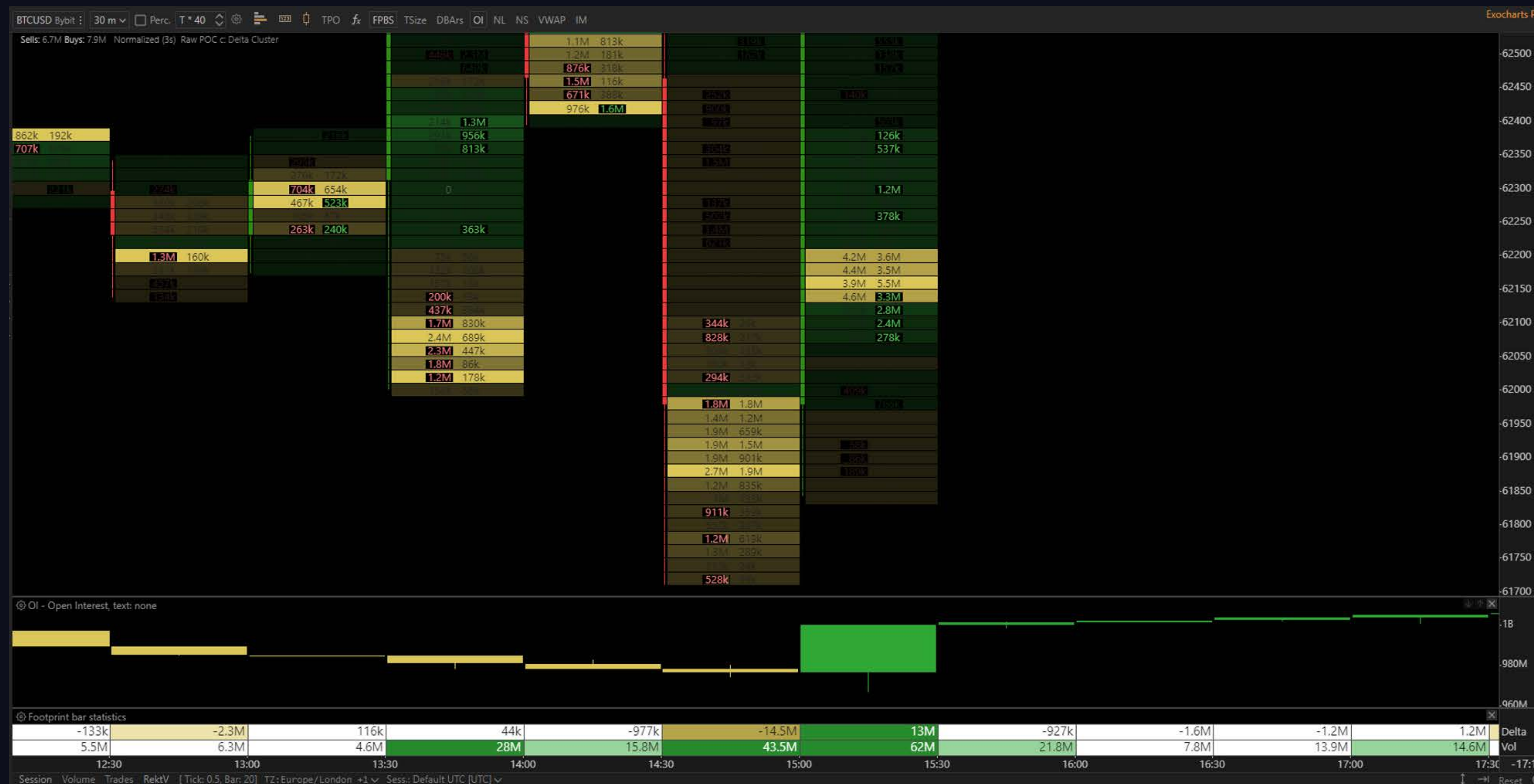
Entering Trades module: Swing Failure Pattern and Liquidity (22:24)



We can see high activity at the lows with negative delta (-14.5M)



How to trade liquidity the advanced way



In the following candle, we can see Buying imbalances and new long positions with positive Delta (13M)

2. Look for demand to show up:

- Look for big buying imbalances.
- Increase in open interest, new longs opening.

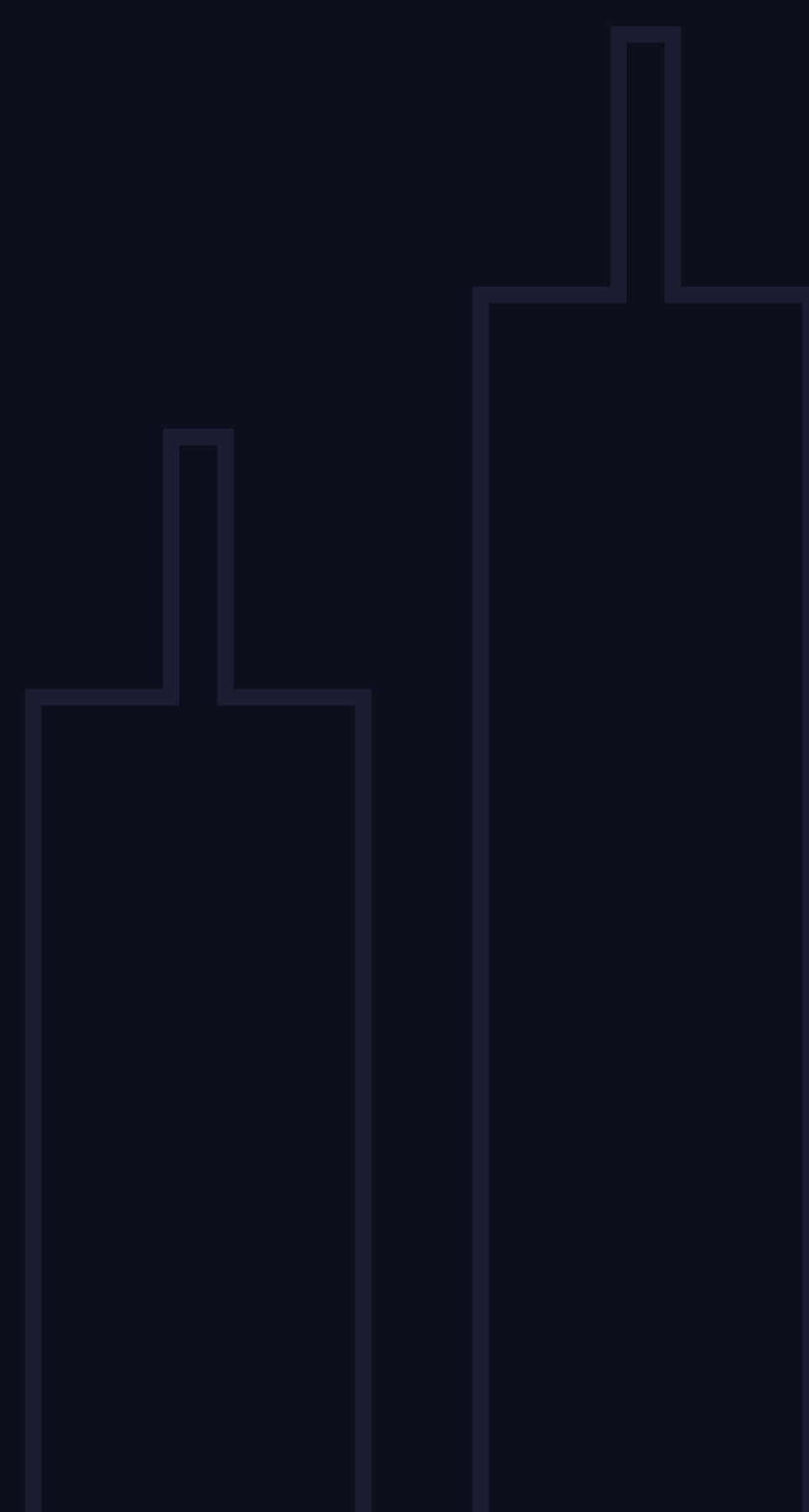


Entering Trades module: Swing Failure Pattern and Liquidity (25:25)

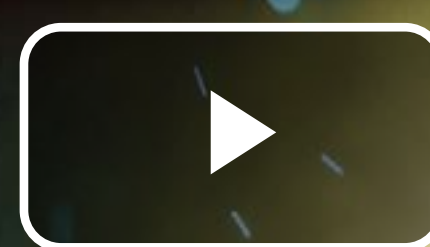


How to trade liquidity the advanced way

3: Change in market structure



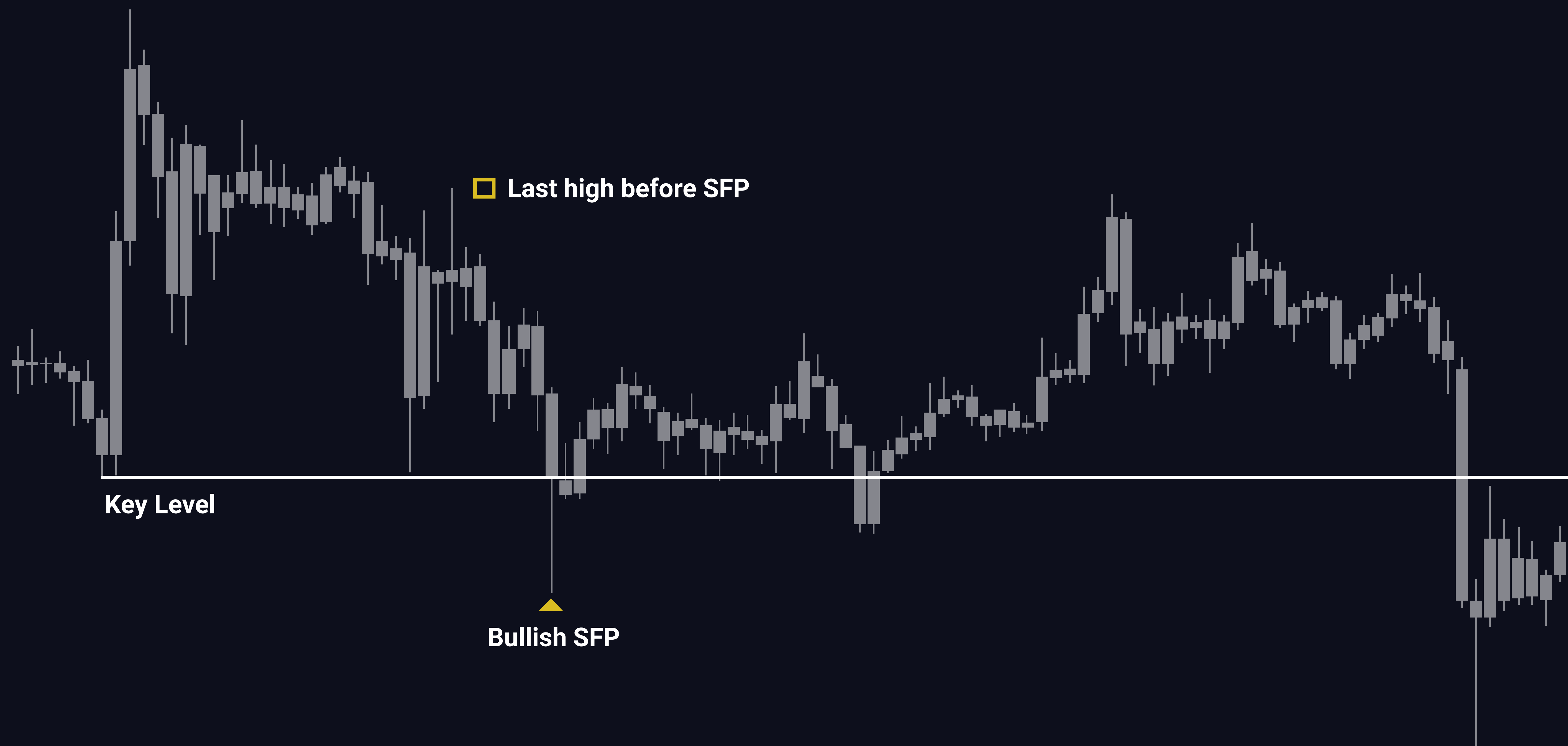
CONTENDERS
53



Entering Trades module: Swing Failure Pattern
and Liquidity (29:00)



SFP 2.0



In a bear market context when the SFP occurs at the highs, the last low before the SFP has a 26% probability of reversal so it's a good level to take profit and keep the rest for potential swing trade.

- Low time frame scalping.
- It's best for low time frame traders.
- Statistics collected during a bear market.



SFP 2.0 Contenders Session by Daniel



SFP 2.0

Key Level

Bearish SFP

□ Last low before SFP

In a bear market context, when SFP occurs at the lows, the last high before the SFP has a 52% probability of a reversal, so it's a good level to take profits and a reversal short trade.



SFP 2.0 Contenders Session by Daniel



Failed Auction

- Time frame preferred: 30 minutes and 4 hours.
- The higher the TF the more follow through.
- Market entries preferred.
- Helps us to recognise a major sign of weakness or strength.
- Very high Risk to Reward setups.
- Easy entry trigger and invalidation.

Daniel likes to trade failed auction setup if price is in a sideways range.



Advanced Strategies: Failed Auctions



The main difference with SFP's is that price spends more time below or above the key level gathering liquidity and then come back out within the previous range.

Preferred scenario would be on an Open Interest increase meaning lots of longs or shorts trading the breakout.

Offers clear entry and invalidation with the stop loss above or below the new high or low made.

Take profit levels are context dependent as it could be the last low made before this new high, range POC, overall range low. Every trade is unique.

Optional: After TP1 we could move SL to entry.



Failed Auction on Lows or Highs with Resting Liquidity



We can look for FA on key levels based on S/R flips where we can find resting liquidity.

Price takes the liquidity and spends time before going for the reclaim.

Upon seeing the reclaim it is acceptable to enter a trade.

We could look for confluences in our favour like CVD Divergences.

Invalidation is below the new low that was made.



Advanced Strategies: Failed Auctions (6:41)



3rd Touch Setup

3rd touch setup is valid when price reaches a key level of support or resistance.

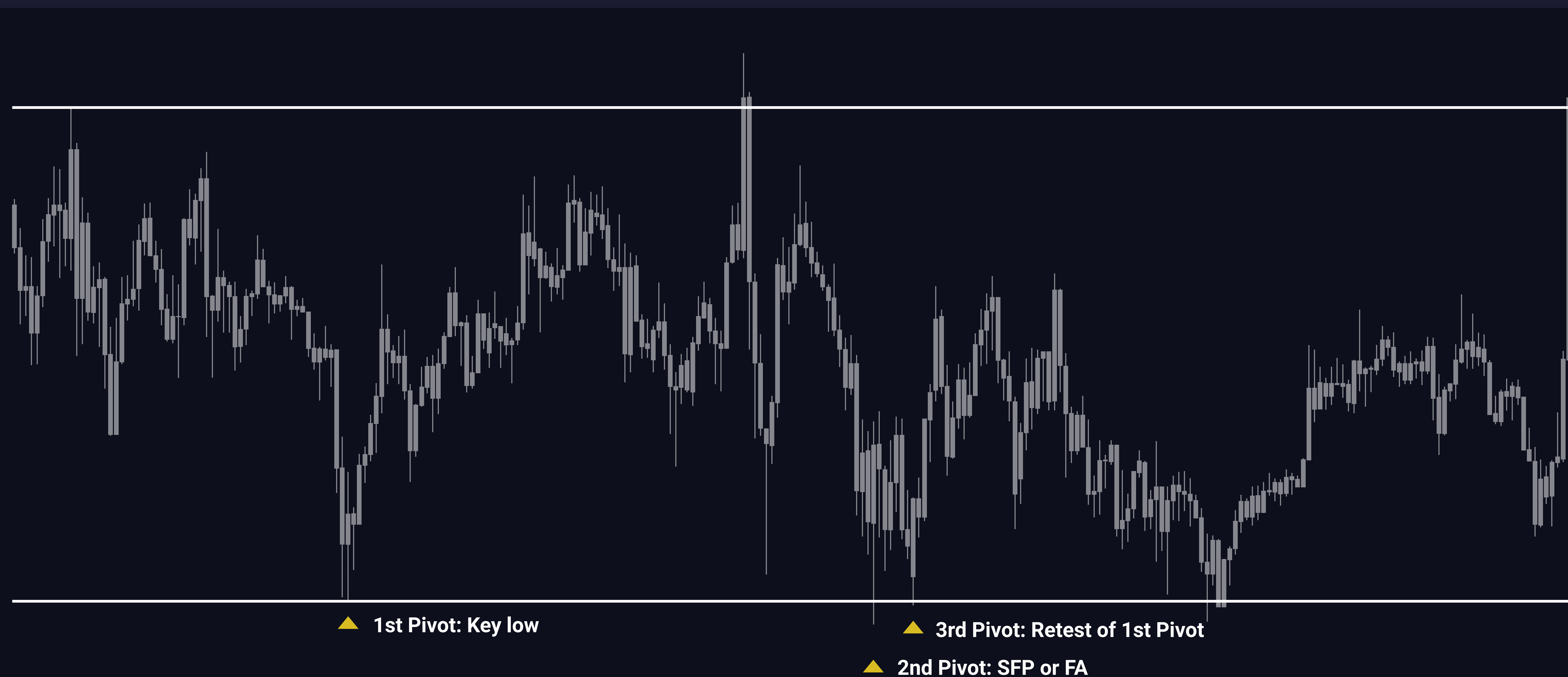
The third touch setup has three pivots:

- 1st Pivot: The first key low or high made.
- 2nd Pivot: It's the Swing Failure Pattern or Failed Auction of the first pivot.
- 3rd Pivot: The retest of the 1st pivot.

Once we got the SFP/FA of the first key high or low made, price retests the previous high/low before the SFP/FA.



Advanced Strategies module: 3rd Touch setup

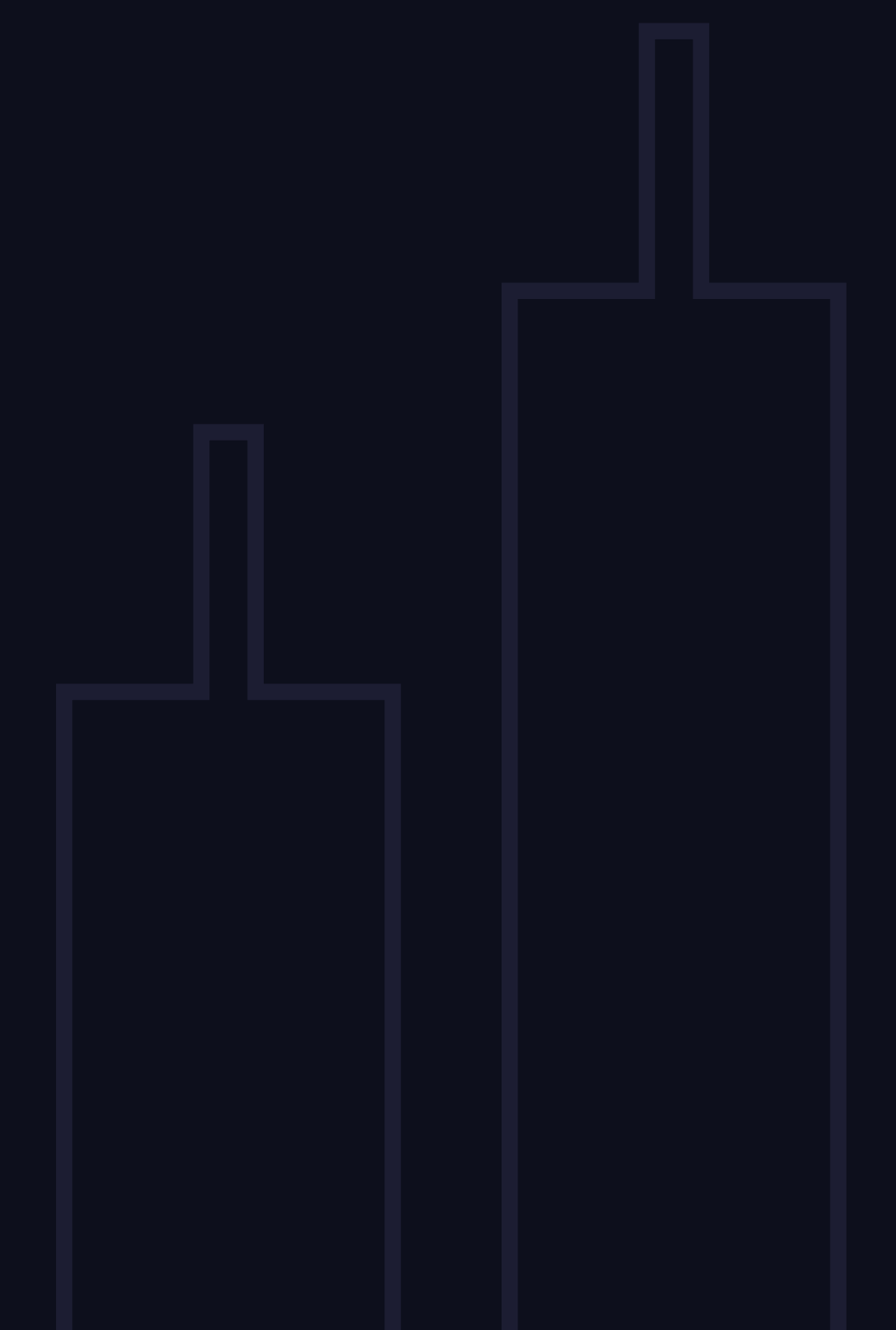




3rd Touch Setup



Price rejects from that secondary test of the first high/low. After seeing the rejection we can execute trade with Stop loss above or below the high or low made.



Advanced Strategies module: 3rd Touch setup (2:42)



3rd Touch Setup

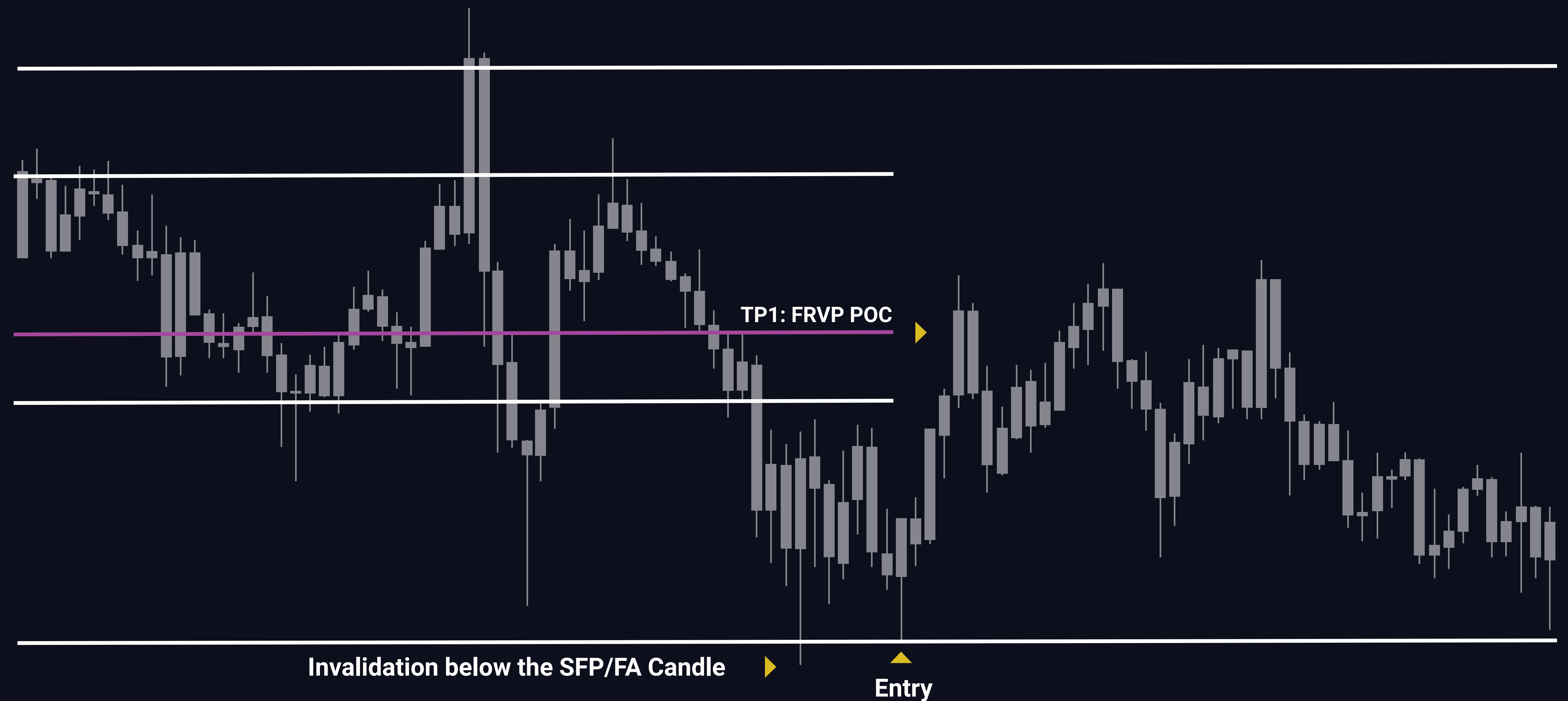
Take profits are context dependent and we could use Fixed Range POC, Session VWAP, CC Fibonacci...

When in the context of a bear market, if a bullish 3rd touch setup presents itself, we should adjust to a closer TP1 such as Session VWAP or last high on a 1 minute or 5 minute chart.

If the setup is invalidated or stopped out we can quickly adjust to look for a 3 Drives pattern or another SFP/FA of previous high or low. However, you will not always get a 3 Drives pattern.



Advanced Strategies module: 3rd Touch setup



Optional

- On the Swing Failure Pattern or Failed Auction you want to see lots of trapped longs with high volume.
- We want to see bearish/bullish CVD divergences on the retest.
- On the retest of the first pivot would be nice if it's also in confluence with the POC of the SFP Candle.